

Multiple Choice (10 marks)

1. What is the bill rate for a bill with 91 days to maturity and a price of \$ 97,987? Calculate also the coupon-issue yield equivalent for the same bill.
 - (a) Bill rate is 7.70%, Coupon issue yield is 8.50%
 - (b) Bill rate is 8.50%, Coupon issue yield is 8.24%
 - (c) Bill rate is 7.96%, Coupon issue yield is 8.24%
 - (d) Bill rate is 8.24%, Coupon issue yield is 8.50%
 - (e) Bill rate is 8.24%, Coupon issue yield is 7.96%
2. Which of the following is a characteristic of monopolistic competition?
 - (a) $P = MC$.
 - (b) Perfect competition.
 - (c) Efficiency.
 - (d) Inelastic demand.
 - (e) $P = MR$.
3. With the presence of a positive externality, which of the following would correct the externality?
 - (a) A government regulation.
 - (b) An increase in supply.
 - (c) A government tax.
 - (d) A government fine.
 - (e) A decrease in demand.
4. Which of the following is not correct for the perfectly competitive firm, in the long run?
 - (a) price = marginal revenue.
 - (b) price = minimum average cost.
 - (c) price = minimum average variable cost.
 - (d) price = marginal cost.
5. An American buys an entertainment system that was manufactured in China. How does the U.S. national income accounts treat this transaction?
 - (a) Net exports and GDP both fall.

- (b) GDP falls and there is no change in net exports.
- (c) Net exports rise and there is no change in GDP.
- (d) Net exports and GDP both rise.
- (e) Net exports rise and GDP falls.

True / False (10 marks)

Answer True or False

- 6. True or False: The trade deficit of \$603 billion suggests that the United States exported more goods than it imported that year.
- 7. True or False: Economic resources primarily consist of financial assets such as money, stocks, and bonds rather than physical inputs for production.
- 8. True or False: The age distribution of the population is a primary determinant of a nation's export and import volumes.
- 9. True or False: If real GDP per capita grows at a rate of 10 percent per year, the standard of living will double in 12 years.
- 10. True or False: Marginal Fixed Cost (MFC) is zero, while Marginal Variable Cost (MVC) is equal to Marginal Total Cost (MC).

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss how positive externalities in production or consumption lead to market failure, particularly focusing on the relationship between marginal social benefit and marginal social cost.
- 12. Discuss how the imposition of an excise tax on the production of good X affects the consumer's burden of the tax, particularly in relation to the elasticity of the demand curve.

End of Paper